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Bachelor of Technology

Engineering Economics

Unit V: Enterprise

Enterprise: Meaning and definition, factors required for growth of Enterprise, Institutions to support the growth of MSMEs, Sources of finance for MSMEs and scope for Self-Employment Opportunities. (05 Hours)

❖ Enterprise

An enterprise is a business or organization established to provide goods or services for profit. It involves planning, organizing, and managing resources to achieve specific goals.

Features of an Enterprise:

1. **Profit-Oriented:**
   - Most enterprises aim to generate profits by selling goods or services.
   - **Example:** A clothing store selling apparel for profit.
2. **Resource Management:**
   - Utilizes resources like labour, capital, and technology efficiently.
   - **Example:** A bakery using ingredients, skilled bakers, and ovens to produce cakes.
3. **Innovation:**
   - Enterprises often innovate to stay competitive.
   - **Example:** A mobile phone company launching a new model with advanced features.
4. **Risk-Taking:**
   - Entrepreneurs take risks to start and manage enterprises.
   - **Example:** Opening a new restaurant in a competitive area.
5. **Customer-Focused:**
   - Success depends on meeting customer needs and satisfaction.
   - **Example:** An online grocery delivery service ensuring timely delivery.

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Types of Enterprises:

1. **Small Enterprises:**
   - Operate on a small scale, often with limited employees and capital.
   - **Example:** A neighbourhood bakery or a small retail shop.
2. **Medium Enterprises:**
   - Larger than small enterprises but not as extensive as large corporations.
   - **Example:** A regional furniture manufacturing company.
3. **Large Enterprises:**
   - Operate on a large scale with significant resources and reach.
   - **Example:** Companies like Tata Motors or Amazon.
4. **Social Enterprises:**
   - Focus on solving social problems while earning revenue.
   - **Example:** An NGO selling handmade products to support underprivileged communities.

Importance of an Enterprise:

1. **Economic Growth:**
   - Enterprises contribute to GDP and create jobs.
   - **Example:** IT companies in India like Infosys and TCS boost the economy.
2. **Innovation and Development:**
   - Introduce new products and technologies.
   - **Example:** Tesla revolutionizing the automobile industry with electric vehicles.
3. **Employment Generation:**
   - Provide jobs to people across various skill levels.
   - **Example:** A new factory employing hundreds of workers.
4. **Improved Standard of Living:**
   - Offer goods and services that improve daily life.
   - **Example:** Online services like Swiggy and Zomato simplifying food delivery.

Example of an Enterprise:

- **Small Enterprise:**
  - A local tailor shop creating customized clothes for customers.

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- **Medium Enterprise:**
  - A regional fast-food chain serving multiple cities.
- **Large Enterprise:**
  - Reliance Industries, which operates in multiple sectors like telecom, retail, and energy.

Steps to Start an Enterprise:

1. **Identify a Business Idea:**
   - Choose a product or service that fulfils a need.
   - **Example:** Starting a delivery service in an area with no similar services.
2. **Create a Business Plan:**
   - Outline the goals, resources, and strategies for the enterprise.
3. **Arrange Financing:**
   - Secure funds from personal savings, loans, or investors.
4. **Set Up Operations:**
   - Establish infrastructure, hire staff, and start production or services.
5. **Market the Business:**
   - Promote products or services to attract customers.

❖ Institutions to Support the Growth of MSMEs (Micro, Small, and Medium Enterprises)

Micro, Small, and Medium Enterprises (MSMEs) play a critical role in the economy by generating employment, fostering innovation, and contributing to GDP. To support their growth, various institutions provide financial assistance, training, technology, and policy guidance.

Institutions Supporting MSMEs

1. Ministry of Micro, Small, and Medium Enterprises (MSME), Government of India

- **Role:**
  - Formulates policies and implements programs to promote and develop MSMEs.

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- **Support Provided:**
  - Financial aid, skill development, and marketing assistance.
- **Example:**
  - Schemes like PMEGP (Prime Minister's Employment Generation Programme) to encourage self-employment.

2. Small Industries Development Bank of India (SIDBI)

- **Role:**
  - Provides financial and non-financial support to MSMEs.
- **Support Provided:**
  - Loans for working capital, infrastructure, and technological upgrades.
- **Example:**
  - SIDBI's "Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE)" enables collateral-free loans.

3. National Small Industries Corporation (NSIC)

- **Role:**
  - Promotes small industries by providing integrated support services.
- **Support Provided:**
  - Raw material procurement, marketing support, and credit facilitation.
- **Example:**
  - NSIC facilitates bulk procurement of raw materials at reduced costs for MSMEs.

4. Khadi and Village Industries Commission (KVIC)

- **Role:**
  - Promotes and supports rural industries and entrepreneurship.
- **Support Provided:**
  - Training, funding, and marketing assistance for Khadi and village-based industries.
- **Example:**
  - Supporting artisans to sell handmade products under the Khadi brand.

5. District Industries Centre (DIC)

- **Role:**

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  - Provides local-level support to small-scale industries.
- **Support Provided:**
  - Registration, subsidies, and entrepreneurship training.
- **Example:**
  - DICs help individuals set up small businesses by guiding them through regulatory procedures.

6. Confederation of Indian Industry (CII)

- **Role:**
  - Represents and advocates for the interests of industries, including MSMEs.
- **Support Provided:**
  - Networking, skill development programs, and access to markets.
- **Example:**
  - CII organizes trade fairs to help MSMEs showcase their products.

7. Indian Institute of Entrepreneurship (IIE)

- **Role:**
  - Focuses on entrepreneurship development and capacity building.
- **Support Provided:**
  - Training programs, research, and consultancy for MSMEs.
- **Example:**
  - IIE conducts workshops to enhance entrepreneurial skills.

8. State Financial Corporations (SFCs)

- **Role:**
  - Provide financial assistance to small and medium enterprises at the state level.
- **Support Provided:**
  - Loans for machinery, infrastructure, and working capital.
- **Example:**
  - A small manufacturing unit getting a loan from SFC to purchase new equipment.

9. Technology Development Centres (TDCs)

- **Role:**

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  - Offer technical and skill-based training to MSMEs.
- **Support Provided:**
  - Technology upgrades, quality improvement, and productivity enhancement.
- **Example:**
  - TDCs training MSMEs to adopt modern tools for improved production efficiency.

10. Coir Board

- **Role:**
  - Promotes the coir industry, especially in rural areas.
- **Support Provided:**
  - Financial support, training, and marketing assistance.
- **Example:**
  - Providing funds to rural entrepreneurs to produce eco-friendly coir mats.

Examples of Institutional Support in Action

1. **Financial Assistance:**
   - A bakery start-up gets a collateral-free loan under SIDBI's CGTMSE scheme to purchase equipment.
2. **Training and Skill Development:**
   - KVIC organizes a workshop to train rural women in weaving and selling handmade Khadi products.
3. **Market Access:**
   - NSIC helps a small textile unit participate in a trade fair to find new buyers.

LIST OF GOVERNMENTS INITIATIVES SCHEMES FOR MSME

- Credit Linked Capital Subsidy Scheme for Technology Upgradation.
- Credit Guarantee Scheme.
- ISO 9000 certification and reimbursement scheme (application form and beneficiaries listing)
- Participation in International Fairs.
- Purchase and Price Preference Policy.
- Prime Minister's Rozgar Yojana (PMRY)

❖ Factors Required for the Growth of an Enterprise

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For an enterprise to grow and succeed, it requires a combination of internal strengths and external support. These factors ensure sustainable development and help the business overcome challenges while seizing opportunities.

1. Strong Leadership and Vision

- **Definition:** Effective leadership sets clear goals and provides direction to the enterprise.
- **Importance:** A strong leader ensures the team stays motivated and focused on growth.
- **Example:** Elon Musk's leadership in Tesla helped the company lead the electric vehicle industry.

2. Financial Resources

- **Definition:** Adequate funding for operations, investments, and expansion.
- **Importance:** Without financial stability, an enterprise cannot grow or scale operations.
- **Example:** A start-up securing funding from investors to expand its product line and marketing efforts.

3. Skilled Workforce

- **Definition:** A team with the right skills, training, and motivation to achieve business goals.
- **Importance:** Skilled employees enhance productivity and innovation.
- **Example:** An IT company hiring talented software developers to create cutting-edge applications.

4. Customer Satisfaction

- **Definition:** Meeting customer needs and ensuring they are happy with products or services.
- **Importance:** Loyal customers drive repeat business and positive word-of-mouth.
- **Example:** Amazon's focus on customer convenience through fast delivery and excellent service.

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5. Innovation and Technology

- **Definition:** Adopting new ideas, processes, or technology to improve products or services.
- **Importance:** Innovation helps the enterprise stay competitive and relevant.
- **Example:** Apple's continuous innovation in iPhones keeps it ahead of competitors.

6. Market Demand and Trends

- **Definition:** Understanding and addressing what the market needs.
- **Importance:** Aligning products or services with demand ensures steady sales and growth.
- **Example:** A company producing eco-friendly packaging to meet the rising demand for sustainable products.

7. Effective Marketing and Branding

- **Definition:** Promoting the enterprise to attract and retain customers.
- **Importance:** A strong brand image helps build trust and expand the customer base.
- **Example:** Coca-Cola's consistent marketing campaigns maintain its global popularity.

8. Infrastructure and Operations

- **Definition:** Efficient facilities, systems, and processes for smooth business operations.
- **Importance:** Proper infrastructure increases productivity and reduces costs.
- **Example:** A manufacturing company using automated machinery to speed up production.

9. Networking and Partnerships

- **Definition:** Building relationships with other businesses, suppliers, and investors.
- **Importance:** Partnerships can open up new opportunities and markets.
- **Example:** A small clothing brand collaborating with an online retailer to reach more customers.

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10. Government Support and Policies

- **Definition:** Access to favourable laws, subsidies, and incentives provided by the government.
- **Importance:** Supportive policies reduce barriers and encourage growth.
- **Example:** A small business benefiting from tax incentives under the Start-up India initiative.

11. Risk Management and Adaptability

- **Definition:** Ability to handle risks and adapt to changing conditions.
- **Importance:** Resilience and flexibility ensure survival during challenges.
- **Example:** Restaurants switching to online delivery during the COVID-19 pandemic to maintain revenue.

12. Social and Environmental Responsibility

- **Definition:** Operating ethically and contributing positively to society and the environment.
- **Importance:** Responsible enterprises build trust and goodwill with stakeholders.
- **Example:** A company reducing its carbon footprint by adopting renewable energy sources.

Examples of Enterprise Growth in Action

1. **Tech Start-up:**
   - A software company grows by hiring skilled developers, securing venture capital, and launching innovative apps.
2. **Local Business:**
   - A bakery expands by using better equipment, improving marketing, and introducing new products based on customer feedback.
3. **Global Enterprise:**
   - Tesla grows by constantly innovating its electric vehicles and adopting sustainable practices.

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❖ Sources of Finance for MSMEs and Scope for Self-Employment Opportunities

Micro, Small, and Medium Enterprises (MSMEs) are the backbone of economic development. To start and grow an MSME or explore self-employment opportunities, access to financial resources and a clear understanding of the available avenues are essential.

Sources of Finance for MSMEs

1. Government Schemes and Subsidies

- **Description:** Financial aid provided by government programs to support MSMEs.
- **Examples:**
  - **Prime Minister's Employment Generation Programme (PMEGP):** Offers financial assistance to set up new ventures.
  - **Credit Guarantee Fund Trust for Micro and Small Enterprises (CGTMSE):** Provides collateral-free loans.

2. Bank Loans

- **Description:** Loans provided by public and private banks for working capital or business expansion.
- **Examples:**
  - Term loans for purchasing machinery.
  - Working capital loans for day-to-day operations.

3. Non-Banking Financial Companies (NBFCs)

- **Description:** Alternative lenders offering easier loan options with flexible terms.
- **Examples:**
  - Bajaj Finserv and Muthoot Finance provide loans for small businesses with fewer formalities.

4. Venture Capital and Angel Investors

- **Description:** Funding provided by investors in exchange for equity in the business.
- **Examples:**

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- A tech start-up receiving investment from angel investors to develop a new product.

5. Microfinance Institutions (MFIs)

- **Description:** Organizations providing small loans to individuals or groups without requiring collateral.
- **Examples:**
  - Grameen Bank offers loans to rural entrepreneurs.

6. Crowdfunding

- **Description:** Raising funds through online platforms by appealing to the public.
- **Examples:**
  - Platforms like Kickstarter and GoFundMe enable businesses to raise funds for innovative projects.

7. Self-Financing

- **Description:** Using personal savings or contributions from family and friends to start a business.
- **Example:**
  - A small shop funded entirely by personal savings.

8. Trade Credit

- **Description:** Suppliers allow businesses to buy goods on credit, payable later.
- **Example:**
  - A retail store receiving inventory from wholesalers on credit terms.

9. Cooperative Banks

- **Description:** Local banks offering financial services specifically for small businesses.
- **Example:**
  - A cooperative bank loan for a rural dairy farm.

Scope for Self-Employment Opportunities

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1. Startups and Small Businesses

- **Description:** Individuals can establish businesses to address specific market needs.
- **Examples:**
  - Opening a café, digital marketing agency, or handmade crafts store.

2. Service Sector

- **Description:** Offering services in areas like IT, healthcare, and education.
- **Examples:**
  - Freelance web design, tutoring, or fitness training.

3. Agriculture and Allied Activities

- **Description:** Opportunities in farming, poultry, dairy, or food processing.
- **Examples:**
  - Organic farming or a small-scale food packaging unit.

4. E-Commerce and Online Platforms

- **Description:** Selling products or services online through marketplaces.
- **Examples:**
  - Selling handmade jewellery on platforms like Amazon or Etsy.

5. Franchising

- **Description:** Starting a business under an established brand name.
- **Examples:**
  - Opening a franchise of McDonald's or a local fast-food chain.

6. Tourism and Hospitality

- **Description:** Opportunities in travel, lodging, and tourism services.
- **Examples:**
  - Starting a homestay or a travel agency.

7. Creative Arts and Crafts

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- **Description:** Leveraging creative skills for business.
- **Examples:**
  - Photography, painting, or handmade products.

8. Home-Based Businesses

- **Description:** Businesses that operate from home with minimal resources.
- **Examples:**
  - Baking, tailoring, or freelance writing.

9. Green Business Ventures

- **Description:** Enterprises focusing on sustainable and eco-friendly products or services.
- **Examples:**
  - Producing biodegradable packaging or solar panel installation services.